Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	Gymshark Ltd. - 33, PUMA SE - 68
Country	Türkiye
Assessment Date	8/21/2025
Assessment Company	Key of Sustainability Denetim Ltd. - 200004

Workforce Summary

Number of Workers	528
Percentage female	42 %
Primary Languages	Turkish

Wage Data information

Monthly minimum wage in country at time of assessment	The gross legal monthly minimum wage in Turkiye in 2024 is 26,005.50 TRY.
GLWC living wage benchmark for the country or relevant region at time of assessment	N/A

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	2
Health, Safety And Environment (HSE)	3
Employment Relationship (ER)	7
Hours Of Work (HOW)	6
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	3

Violations per Category	Violated Benchmarks
Immediate Action Required	9
Sustainable Improvement Required	12
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

24-Hour Findings Summary

24h Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	0
Employment Relationship (ER)	0
Hours Of Work (HOW)	4
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	1

Details 24h Findings

Benchmark	Compensation (C)
Benchmark ID	C.17
Benchmark Details	Employers shall ensure that all legally required payroll documents, journals and reports are available, complete, accurate and up-to date.
Finding Details	(24hr) COMP_RC_Q02 - Does payroll accurately reflect the actual working hours records and length of service? Answer: No, 24h Finding Explanation: An evaluation of the personnel attendance record system revealed that employees worked on Sundays (August 17, 2025), but records submitted to auditors indicated that these same employees did not work on Sundays. Based on employee interviews, documents, and statements, regular work and payments for these hours were verified. However, payments for overtime work were not verified.

Benchmark	Hours Of Work (HOW)
Benchmark ID	HOW.21
Benchmark Details	Other than in exceptional circumstances, the total weekly work hours (regular work hours plus overtime including any alternative shifts such as 4x4 or 3x3) shall not exceed 60 hours per week.

Finding Details	(24hr) HOWA_WT_Q01 - Over the past 12 months, have all workers' hours been kept under 60 hours per week? Answer: No, 24h Finding Explanation: During the evaluation of the personnel attendance record system, an examination of Sunday (August 17, 2025) revealed that employees worked on Sundays, but the records presented to auditors indicate that these same employees did not work on Sundays. According to this inconsistency, workers' total working hours including overtime could not be verified.

Benchmark	Hours Of Work (HOW)
Benchmark ID	HOW.22.2
Benchmark Details	Accurate time records shall be maintained by employers, including overtime, breaks, and leave.
Finding Details	(24hr) HOWA_RKH_Q03 - Are time records complete and accurate (including overtime and leaves)? Answer: No, 24h Finding Explanation: During the evaluation of the personnel attendance record system, an examination of Sunday (August 17, 2025) revealed that employees worked on Sundays, but the records presented to auditors indicate that these same employees did not work on Sundays. According to this inconsistency, workers' total working hours including overtime could not be verified.

Benchmark	Hours Of Work (HOW)
Benchmark ID	HOW.22.4
Benchmark Details	Employers shall not maintain multiple time-keeping systems and/or records.
Finding Details	(24hr) HOWA_RKH_Q05 - Is the factory's timekeeping kept to a single system only? Answer: No, 24h Finding Explanation: As it's been verified during the examination of time recording system, it's observed that there are two time keeping and it's been confessed/admitted by management during closing meeting.

Benchmark	Hours Of Work (HOW)
Benchmark ID	HOW.22.5
Benchmark Details	Time records maintained shall be authentic and accurate.

Finding Details	(24hr) HOWA_RKH_Q04 - Are all time records true and accurate? Answer: No, 24h Finding Explanation: During the evaluation of the personnel attendance record system, an examination of Sunday (August 17, 2025) revealed that employees worked on Sundays, but the records presented to auditors indicate that these same employees did not work on Sundays. According to this inconsistency, workers' total working hours including overtime could not be verified.

Assessment Results

Compensation (C)	
Benchmark ID	C.17
Benchmark Details	Employers shall ensure that all legally required payroll documents, journals and reports are available, complete, accurate and up-to date.
Finding Details	An evaluation of the personnel attendance record system revealed that employees worked on Sundays (August 17, 2025), but records submitted to auditors indicated that these same employees did not work on Sundays. Based on employee interviews, documents, and statements, regular work and payments for these hours were verified. However, payments for overtime work were not verified.
Recommendations for Immediate Action	The factory should ensure that all time records are maintained in a single, accurate system that reflects employees' actual working hours.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	WORKING TIMES REGULATION REGARDING LABOR LAW Official Gazette Date: 06.04.2004 Number of Official Gazette: 25425 Documentation of Working Time Article 9 – The employer has to document the working hours of the workers with appropriate tools.

Benchmark ID	C.19.1
Benchmark Details	Employers shall make every reasonable effort to ensure workers understand their compensation, including: the calculation of wages,?incentives systems, benefits, and bonuses they are entitled to at the workplace and under applicable laws.
Finding Details	It has been observed that 12 out of 15 interviewed workers are not familiar with the details of the performance bonus system. They are unaware of whether the performance bonus applies during overtime or whether some departments calculate performance bonuses individually or as a departmental measure. Adequate training has not been provided.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	

Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	C.20.1
Benchmark Details	All workers have a right to use or not to use services provided by employers, such as housing or meals.
Finding Details	It was observed that workers can choose whether to use the free transportation and meal services; however, those who choose not to use these services are not compensated with a monetary benefit in place of the in-kind provision.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Employment Relationship (ER)

Benchmark ID	ER.16.3
Benchmark Details	Where temporary or permanent layoffs are unavoidable, a plan should be developed and implemented that mitigates the adverse effects of such changes on workers and their communities.
Finding Details	The factory doesn't have a plan developed and communicated to the workers that mitigates the adverse effects of layoffs in case of unavoidable layoffs.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.18.4
Benchmark Details	The disciplinary system shall include a third party witness during imposition, and an appeal process.

Finding Details	The disciplinary procedure doesn't include workers' right to have a third party witness during the imposition of disciplinary actions
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.8
Benchmark Details	Employers shall have written policies and procedures with regard to promotion, demotion, and job reassignment that outline the criteria, demonstrate linkages to job grading, and prohibit discrimination or use of demotion or job reassignment as a form of penalty or punishment, are provided in writing and seek feedback from employees in writing, and follow all local legal requirements.
Finding Details	The factory doesn't have policies and procedures on promotion, demotion and job reassignment.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.19.1
Benchmark Details	Employers shall maintain on file all documentation needed to demonstrate compliance with the FLA Workplace Code and required laws.
Finding Details	Upon comparison, it was identified that the total permitted area according to the legally recognized documents (Occupancy Permit + Building Registration Certificate) is 21,852 m², whereas the Operational License and Fire Safety Certificate both reflect a total area of 20,915 m². This results in a 937 m² discrepancy, where the operation license covering less area than what is documented under the full set of building-related certifications. In addition, the number of floors stated in the Occupancy Permit (6 floors) differs from the 8 floors recognized in the Fire Safety and Business Licenses, indicating inconsistency across official documents.

Recommendations for Immediate Action	Factory should ensure all official licenses and permits consistently reflect the same area and floor details, and address any discrepancies with relevant authorities.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Turkish Zoning Law No. 3194 – Construction and occupancy regulations Regulation on Fire Protection of Buildings (Official Gazette No. 26735)

Benchmark ID	ER.6.1
Benchmark Details	Employers shall have written policies and procedures and implement practices that encourage ongoing training of all categories of workers with the goal of raising or broadening skills in order to advance in their careers within the factory or beyond.
Finding Details	The factory doesn't have written policies and procedures on personnel development that encourage ongoing training with the goal of raising or broadening workers' skills so they can advance in their careers.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.5.1
Benchmark Details	Employers shall ensure that all supervisors are trained in national laws, workplace regulations, and the FLA Code, workplace grievance systems, and the appropriate practices to ensure compliance.
Finding Details	The factory doesn't provide any specific training to the relevant supervisors that includes all FLA Code elements and Employment Functions
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required

Local Law

Benchmark ID	ER.1.3
Benchmark Details	Employers should implement an annual, review process with input from workers of all policies, procedures and their implementation to ensure they meet legal requirements and the FLA Workplace Code.
Finding Details	Workers are not consulted or integrated in the decision-making process of aspects concerning workplace and working conditions (e.g., creation or revision of policies and procedures, changes on production processes, hours of work, etc.)
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Health, Safety And Environment (HSE)

Benchmark ID	HSE.14.1
Benchmark Details	All production machinery, equipment and tools shall be properly guarded and regularly maintained.
Finding Details	The factory has not implemented a complete lockout/tagout maintenance safety system.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HSE.29
Benchmark Details	Employers shall provide all necessary protection for workers when working at heights, confined spaces, and other high-risk areas.
Finding Details	The factory does not have a procedure for safely entering confined spaces.
Recommendations for Immediate Action	

Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	HSE.8
Benchmark Details	Workers shall be provided with training on the use and maintenance of personal protective equipment. Training shall be upon hire with periodic refresher training offered to all workers. Management will ensure use of PPE as necessary.
Finding Details	Earplugs are not used by a few employees in the knitting department.
Recommendations for Immediate Action	The factory should ensure that all workers use earplugs while working in high-noise departments.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	REGULATION ON THE PROTECTION OF WORKERS FROM RISKS RELATED TO NOISE Official Gazette Date: 28.07.2013 – Official Gazette No: 28721 Personal Protection Article 9 (1) Where the risks arising from exposure to noise cannot be prevented by the measures specified in Article 8, the employer shall: a) Ensure that hearing protective equipment is made available to workers when their exposure to noise exceeds the lower exposure action values specified in Article 5. b) Ensure and supervise the use of hearing protective equipment by workers when their exposure to noise reaches or exceeds the upper exposure action values specified in Article 5. c) Make every effort to ensure the use of hearing protective equipment and monitor the effectiveness of the personal protective measures taken pursuant to this Article.

Nondiscrimination (ND)

Benchmark ID	ND.2.1
Benchmark Details	All employment decisions shall be made solely on the basis of a person's qualifications, in terms of education, training, experience, demonstrated skills and/or abilities, as they relate to the inherent requirements of a particular job.

Finding Details	The factory has a complete non-discriminatory policy and procedure overall; however, it does not have a specific downsizing procedure for unavoidable circumstances.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ND.5
Benchmark Details	There shall be no differences in compensation for workers for work of equal value on the basis of gender, race, religion, age, disability, sexual orientation, nationality, political opinion, social group or ethnic origin.
Finding Details	The company has a loan procedure to provide financial support to workers. Workers are able to borrow up to one month's net salary and can use the factory loan system instead of banks. Loan repayments are deducted from workers' salaries over a period of up to six months. The loan/lending procedure also states, "If the loan to be given to employees is more than the amount of one net salary, the CEO will evaluate it and decide whether to grant it." This creates a conflict in the procedure, as it does not clearly specify which employees may be granted loans exceeding one net salary.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Hours Of Work (HOW)

Benchmark ID	HOW.11.1
Benchmark Details	Employers shall provide workers with paid annual leave as required under national laws, regulations and procedures.

Finding Details	During the documentation review on 18 July 2025, the facility provided access to the annual leave committee records, including meeting minutes and attendance logs, confirming that the committee is active. However, review of leave balance records for all employees showed that some workers had accrued annual leave exceeding one statutory cycle. Specifically, 46 employees had unused paid leave balances ranging from 26 to 122 days. One employee had 122 days, while the remaining 45 had varying balances above 26 days.
Recommendations for Immediate Action	Workers with accrued annual leave should be provided their leave in a timely manner, and all entitled annual leave should be granted within the coming year
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	REGULATION ON ANNUAL PAID LEAVE Implementation of Annual Paid Leave Article 6 — Annual paid leave may not be divided by the employer. The employer is obliged to grant this leave in a continuous manner within the periods stipulated under Article 53. However, the leave periods prescribed in Article 53 may, upon mutual agreement of the parties, be taken in parts, provided that one portion is not less than ten days (Amended phrase: Official Gazette No. 30158, 18/08/2017). Other paid or unpaid leave granted by the employer during the year, as well as rest or sick leave, may not be deducted from annual paid leave. In calculating the number of days of annual paid leave, national holidays, weekly rest days, and public holidays falling within the leave period shall not be counted as part of the leave.

Benchmark ID	HOW.21
Benchmark Details	Other than in exceptional circumstances, the total weekly work hours (regular work hours plus overtime including any alternative shifts such as 4x4 or 3x3) shall not exceed 60 hours per week.
Finding Details	During the evaluation of the personnel attendance record system, it was observed that workers worked on Sunday, August 17, 2025, but the records provided to auditors indicated that these workers did not work on that day. Due to this inconsistency, workers' total working hours, including overtime, could not be fully verified.
Recommendations for Immediate Action	The factory should keep single time recording system and ensure that the system is accurate and reliable.

Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	WORKING TIMES REGULATION REGARDING LABOR LAW Official Gazette Date: 06.04.2004 Number of Official Gazette: 25425 Documentation of Working Time Article 9 – The employer has to document the working hours of the workers with appropriate tools.

Benchmark ID	HOW.22.2
Benchmark Details	Accurate time records shall be maintained by employers, including overtime, breaks, and leave.
Finding Details	During the evaluation of the personnel attendance record system, it was observed that workers worked on Sunday, August 17, 2025, but the records provided to auditors indicated that these workers did not work on that day. Due to this inconsistency, workers' total working hours, including overtime, could not be fully verified.
Recommendations for Immediate Action	The factory should keep time records accurately and ensure that time recording system is reliable.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	WORKING TIMES REGULATION REGARDING LABOR LAW Official Gazette Date: 06.04.2004 Number of Official Gazette: 25425 Documentation of Working Time Article 9 – The employer has to document the working hours of the workers with appropriate tools.

Benchmark ID	HOW.22.4
Benchmark Details	Employers shall not maintain multiple time-keeping systems and/or records.
Finding Details	During the examination of the time recording system, it was verified that there are two separate timekeeping systems, which management later acknowledged during the closing meeting.
Recommendations for Immediate Action	Factory should be transparent and keep a single time recording system.
Recommendations for Sustainable Improvement	

Compliance Classifications	Immediate Action Required
Local Law	WORKING TIMES REGULATION REGARDING LABOR LAW Official Gazette Date: 06.04.2004 Number of Official Gazette: 25425 Documentation of Working Time Article 9 – The employer has to document the working hours of the workers with appropriate tools.

Benchmark ID	HOW.22.5
Benchmark Details	Time records maintained shall be authentic and accurate.
Finding Details	During the evaluation of the personnel attendance record system, it was observed that workers worked on Sunday, August 17, 2025, but the records provided to auditors indicated that these workers did not work on that day. Due to this inconsistency, workers' total working hours, including overtime, could not be fully verified.
Recommendations for Immediate Action	Factory should be keeping a single time recording system and records should be accurate, available and correct.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	WORKING TIMES REGULATION REGARDING LABOR LAW Official Gazette Date: 06.04.2004 Number of Official Gazette: 25425 Documentation of Working Time Article 9 – The employer has to document the working hours of the workers with appropriate tools.

Benchmark ID	HOW.8.2
Benchmark Details	All overtime work shall be consensual, and employers shall enact a voluntary overtime system, including for overtime utilized in exceptional circumstances*.
Finding Details	It was observed that single-shift employees (08:00–18:00, five days a week) routinely worked overtime on Saturdays from 08:00 to 18:00, with only up to two exceptions when they did not work overtime, as confirmed verbally by workers.
Recommendations for Immediate Action	The factory should ensure that workers are free to choose whether to work overtime.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required

Local Law	REGULATION ON OVERTIME AND WORKING BEYOND NORMAL HOURS UNDER THE LABOR LAW Consent of the Worker for Overtime Work Article 9 — In order to require a worker to perform overtime work or work beyond normal hours, the worker's written consent must be obtained. Such consent shall not be required in cases of compulsory necessity or extraordinary circumstances.